



ECOFIN

STUDY GUIDE

**Topic: Combating
Corruption in EU Cohesion
and Recovery Funds**



TABLE OF CONTENTS

1. Letter from the Chairboard	3
2. Introduction to the committee	4
3. Introduction to the topic	4
4. Historical background	6
4.1 History of the EU Cohesion Fund	6
4.2 History of the EU Recovery and Resilience Facility (Recovery fund)	7
4.3 History of corruption in the aforementioned programmes	7
5. Case Studies	9
6. Sources	22

1. LETTER FROM THE CHAIRBOARD

Dear Delegates and Representatives,

As the Chairs of the Economic and Financial Affairs Council (ECOFIN), we would like to sincerely welcome you to JASMUN 2026! We are thrilled to have the opportunity to lead these prolific debates and truly hope to make this an unforgettable experience for every single one of you. Whether you are a first-timer or an experienced delegate, we hope you'll thrive on this opportunity and make fond memories that you can carry for life.

The following document is designed to guide you through your preparation for JASMUN 2026. It will not only serve as an introduction to the topic but will also help each and every one of you understand the basics of your country's policy. Keep in mind that this document should only be the basis of your knowledge and further research is required to be truly prepared for the committee proceedings. Should you have any questions or doubts regarding this study guide, the committee, the topic or anything else conference related, feel free to contact us, as we are here to help and guide you through this MUN. These conferences are not only perfect opportunities to develop new skills but also a possibility to make long-lasting friendships. We would like to encourage you to take full advantage of this experience, use it as a break from everyday activities and simply have fun.

We are thrilled to have you as delegates in our committee and truly hope that we will be able to experience some amazing moments together. We wish you a smooth preparation for Jasienica Model United Nations and are looking forward to working with you in the committee sessions!

XOXO,

Your amazing chairboard: Ola & Fiete

2. INTRODUCTION TO THE COMMITTEE

The Economic and Financial Affairs Council is a configuration of the Council of the European Union, meaning the debates are led only among a set group of members on a specific topic. ECOFIN is responsible for developing and adopting EU legislation and policies that aim at ensuring financial stability and promoting economic growth across the European Union. The main areas of work of the Economic and Financial Affairs Council include: coordination of economic policies, taxation, capital markets, banking, the euro and budget. This Council also coordinates the EU's position for international meetings such as the G20 and the International Monetary Fund.

ECOFIN operates on a very interesting basis, as depending on the debated topic, the Council will bring together ministers responsible for the economic affairs, EU budget and finance from all Member States. However, depending on the agenda, the Council can meet in two different compositions: Economic and Financial Affairs, with ministers of economy or finance participating in monthly meetings, or Budget, where ministers who are responsible for EU budgeting meet at least once a year to discuss the EU's annual budget.

Most decisions within ECOFIN are adopted through Qualified Majority Voting, although certain sensitive areas, particularly direct taxation, require unanimous approval by all Member States. The Council works closely with the European Commission, the European Parliament and the European Central Bank when shaping the EU's economic and financial policies.

3. INTRODUCTION TO THE TOPIC

Corruption poses one of the biggest threats to the European Union. The EU legislature defines fraud as “deliberate infringement that is, or could be, prejudicial to the EU budget”. It also calls upon all Member States to counter corruption and any other form of illegal activity in a unified manner, strongly emphasizing the importance of not only international cooperation, but also the inclusion of European bodies such as the European Anti-Fraud Office (OLAF), European Commission (EC) and the European Court of Auditors (ECA).

Corruption often consists of cross-border actions, which explains why collaboration between Member States and EU agencies is essential in order to minimize and potentially eliminate the issue.

Signs of corruption are most commonly found in the EU Cohesion Policy. The EU Cohesion Funds are financial tools created by the European Union to reduce social and economic disparities between Member States. For the 2021–2027 period, the total budget for the broader Cohesion Policy is €392 billion, with the specific Cohesion Fund accounting for €48.03 billion. It mainly focuses on areas such as infrastructure, education, innovation and development, as the differences are mostly visible there.

Another very important facility in the topic of corruption is the Recovery and Resilience Facility. It is a temporary financial instrument created by the EU to mitigate the consequences of COVID-19 and support ecological and digital transitions until the end of December 2026. It consists originally of up to €723.8 billion, split into roughly €338 billion in grants and €385.8 billion in loans. It operates on a “non-reimbursable basis” meaning the money is provided to Member States only in the form of aforementioned loans or grants.

While the most obvious example of corruption that immediately comes to mind is bribery, it is crucial to understand that there are many other forms of malfeasance that shall also be discussed, with some of them being:

- a) **conflicts of interest:** a situation when a person’s private interest clashes with their professional one, leading to a potential power abuse for personal gain,
- b) **bid-rigging in public procurement:** an illegal practice in which private businesses rig the bidding process through: cover bidding (conspired firms submit token high bids or unacceptable terms so a pre-selected partner wins), bid suppression (competitors intentionally refrain from bidding or withdraw submissions to clear a path for the designated winner), bid rotation (companies take turns submitting the winning lowest bid across sequential public contracts) or market allocation (firms carve up government clients by geographic regions or specific public agencies),

c) **embezzlement**: a situation in which a person steals assets that they were legally trusted with. It differs from theft, as the person had legal access to the funds before misusing them,

d) **fake projects or inflated costs**: it's the artificial raising of prices in public or private contracts to embezzle funds, pay kickbacks or hide bribes.

It is a huge issue not only because of the legal consequences, but also due to other negative effects that it creates. Problems worth mentioning are the waste of taxpayers' money, delay in public services, reduced economic growth, loss in the citizens' trust in EU institutions and the unequal development between Member States.

4. HISTORICAL BACKGROUND

4.1 History of the EU Cohesion Fund

The Cohesion Fund was agreed to be established at the European Council meetings in Lisbon (June 26-27, 1992) and Edinburgh (December 11-12, 1992). It was formalized in 1993 as part of the Delors II package of the Treaty of Maastricht. Its goal was to strengthen the regional policy of the EU. Cohesion Funds cover seven year funding periods: up to December 31st, 2006, 2007-2013, 2014-2020 and the current one being 2021-2027.

Originally, the recipients of these funds were Greece, Portugal, Spain and Ireland; but since new countries joined the EU in 2004, 2007 and 2014, the funds have been located mainly in Central and Eastern Europe. For the 2021–2027 period, the Cohesion Fund is available to Bulgaria, Croatia, Cyprus, Czech Republic, Estonia, Greece, Hungary, Latvia, Lithuania, Malta, Poland, Portugal, Romania, Slovakia and Slovenia.

Some of the most remarkable projects cofinanced by the EU Cohesion Fund are the Vasco da Gama Bridge in Portugal, the Dublin Port Tunnel in Ireland, the Riga International Airport in Latvia, a cycle route across the Atlantic Pyrenees in France and Spain, the Bucharest Metro Line 5 in Romania, the Petržalka Tram Line in Slovakia, the Domžale-Kamnik Central Wastewater Treatment Plant in Slovenia, the renewable energy farm in Pelplin, Poland and the Rail Baltica across the Baltic States.

4.2 History of the EU Recovery and Resilience Facility (Recovery fund)

The Recovery and Resilience Facility was created as the main point of the EU's response to the negative consequences of the COVID-19 pandemic. The Member States experienced a lot of economic disruption (such as declining economic activity, unemployment, interruptions of supply chains and increased pressure on public finances) therefore it was crucial to establish a financial instrument that would respond to the challenge in an unprecedented and successful manner, while also preparing the nations for upcoming projects.

In 2020, EU leaders agreed on the creation of NextGenerationEU, a temporary recovery instrument worth up to €806.9 billion in current prices. The RRF became its central component and was formally established in February 2021. Unlike many traditional EU funding programmes, the RRF was designed as a performance-based instrument, meaning that Member States receive funding after fulfilling specific reforms and investment milestones agreed upon in their national Recovery and Resilience Plans.

The first Recovery and Resilience Plans were assessed and approved during 2021, allowing the implementation of the Facility to begin. Its objectives extended beyond simply repairing the economic damage caused by COVID-19. The RRF was designed to strengthen the resilience of European economies and accelerate the green and digital transitions, while also addressing structural challenges identified by the EU.

The implementation of the Facility has continued to be affected by developments such as Russia's invasion of Ukraine, high inflation, the energy crisis and disruptions to supply chains. These circumstances led Member States to modify some of their recovery plans in order to respond to changing economic conditions. Nevertheless, the RRF remains a temporary instrument, with its implementation scheduled to continue until the end of 2026.

4.3 History of corruption in the aforementioned programmes

The misuse of European Union funds has been a concern since the beginning of the development of large-scale EU financial programmes.

Opportunities for fraud and corruption arose simultaneously with the significance and scale of the funds distributed to Member States. In response to the new risk, the EU gradually developed a system of financial controls and investigative bodies intended to protect its budget and ensure that European funds were used for their intended purposes.

One of the earliest and highly important steps in the development of the EU's anti-fraud system was the creation of the Anti-Fraud Coordination Unit (UCLAF) in 1988. It worked with national anti-fraud authorities and provided support when tackling cases of international fraud. However, as the scale and complexity of those cases increased, the Union recognised the need for a stronger and more independent institution. In 1999, the European Anti-Fraud Office (OLAF) was established with an independent investigative mandate. OLAF's role was to investigate fraud, corruption and other illegal activities affecting the EU's financial interests. What is worth noting, OLAF cooperates with national authorities, which ensures that solving these challenges does not infringe upon the sovereignty of nations and allows them to actively participate in the process.

Throughout the following decades, the EU continued to strengthen its anti-fraud system. OLAF began publishing annual reports documenting investigations, fraud trends and measures taken to protect the EU budget. New mechanisms were introduced to improve the process including the Hercule programme, which supported Member States in developing their capacity to combat fraud and the Fraud Notification System, which allowed individuals to report suspected fraud to OLAF. In 2019, the European Commission also adopted a new Anti-Fraud Strategy aimed at improving the prevention, detection and sanctioning of fraud. Another goal was strengthening cooperation between different EU institutions and national authorities.

Despite these developments, fraud continued to affect EU-funded projects. It was particularly visible in areas involving public procurement and large infrastructure investments. Common methods included manipulating tender procedures, creating conflicts of interest, inflating project costs, submitting false documentation and using EU funds for purposes other than those originally approved. The scale of the problem has varied between years, but OLAF's investigations demonstrate that misuse of EU funding remains an ongoing issue. For example, in 2024 OLAF concluded 246 investigations and recommended the recovery of more than €870 million for the EU budget, while also preventing an additional €43.5 million from being unduly spent.

Recent investigations demonstrate that these risks remain relevant. In July 2026, the European Public Prosecutor's Office (EPPO) investigated suspected procurement fraud involving €4 million of RRF funding for medical equipment in Romania, with investigators alleging that the project budget may have been artificially inflated. In August 2026, EPPO also investigated suspected manipulation of public procurement procedures involving 29 EU-funded IT projects worth approximately €7 million, including projects financed through the RRF. Similar investigations have taken place in other Member States, including Portugal, where 15 suspects were indicted in July 2026 in connection with alleged fraud involving RRF-funded IT and cybersecurity projects for public education institutions.

5. CASE STUDIES

Bulgaria

The Zheleznitsa Tunnel, located along Bulgaria's Struma motorway, is the longest road tunnel in the country. Its construction was part of the EU-funded Operational Programme "Transport and Transport Infrastructure" 2014–2020 and was co-financed by the EU Cohesion Fund. The project was worth approximately BGN 185 million (€95.6 million), of which around 85% was financed by EU funds.

In April 2024, the European Public Prosecutor's Office (EPPO) led searches at six companies and four private residences in Bulgaria as part of an investigation into suspected embezzlement, misuse of EU funds and money laundering connected to the construction of the tunnel. The project was managed by Bulgaria's Road Infrastructure Agency, which had contracted a consortium of three companies for the construction.

The investigation is particularly relevant to the issue of financial oversight of Cohesion Funds, as the project involved a very large amount of EU financing. The suspected offences demonstrate how major infrastructure projects can create opportunities for the misuse of public resources and highlight the importance of monitoring contractors and financial transactions throughout the implementation of EU-funded projects. EPPO's involvement also demonstrates the importance of cooperation between national authorities and EU-level institutions when suspected crimes affect the EU budget.

The case is important for ECOFIN because it demonstrates that allocating EU funding is only one part of protecting the Union's financial interests. Effective mechanisms are also required to monitor how funds are spent after they have been allocated, identify suspicious transactions, and ensure that irregularities are investigated. The Zheleznitsa case therefore raises questions about whether existing monitoring mechanisms for large Cohesion Fund infrastructure projects are sufficiently effective and whether stronger cooperation between national managing authorities, OLAF, EPPO and other EU institutions is necessary.

Czech Republic

The Czech Republic provides a significant example of corruption involving both Cohesion Policy and Recovery and Resilience Facility funding. In February 2025, the European Public Prosecutor's Office (EPPO) launched a major investigation into suspected corruption surrounding projects at Motol University Hospital in Prague, the largest hospital in the Czech Republic. The projects under investigation had a combined value of more than €160 million and were financed or co-financed through the Czech National Recovery Plan and the European Cohesion Fund. Twenty-two individuals were arrested and 46 searches were conducted.

According to EPPO, 16 suspects allegedly manipulated public procurement procedures by demanding and providing illicit financial benefits connected to contracts for the hospital. The investigation concerned suspected corruption, subsidy fraud, damage to the EU's financial interests and money laundering. Czech law-enforcement authorities, including the National Organised Crime Agency, supported EPPO during the investigation. All suspects remain presumed innocent unless convicted by a court.

The Czech Republic's approach demonstrates support for strong cooperation between national authorities and EU-level institutions when corruption affects European funds. The case also highlights the importance of transparent public procurement and effective monitoring of contracts financed through both Cohesion and RRF funding. Czechia therefore supports strengthening the detection of corruption while maintaining strong national responsibility for managing and controlling EU-funded projects.

Denmark

Denmark provides an interesting case because its approach focuses more strongly on prevention than on a major corruption scandal involving Cohesion or RRF funding. As part of the implementation of its Recovery and Resilience Plan, Denmark developed an anti-fraud and anti-corruption strategy and required the bodies responsible for implementing the plan to establish corresponding action plans. These measures were intended to identify potential fraud risks before funds were distributed and to clarify responsibilities for preventing, detecting and reporting irregularities.

Denmark is also one of the EU Member States that does not participate in the European Public Prosecutor's Office. Instead, it cooperates with EPPO through a working arrangement signed in August 2023.

Denmark's approach demonstrates a preference for strong national control systems and preventive measures. Rather than relying exclusively on EU-level criminal investigations, Denmark places considerable responsibility on national authorities to assess risks and maintain internal controls. For the topic, Denmark can therefore be viewed as supporting strong anti-fraud safeguards and transparency while maintaining significant national responsibility for the management of EU funds.

European Anti-Fraud Office

The European Anti-Fraud Office (OLAF) is one of the EU's main bodies responsible for protecting the Union's financial interests. A particularly relevant example is OLAF's investigation into suspected fraud involving more than €100 million in Romanian water-supply and wastewater projects financed through the Cohesion Fund. OLAF identified evidence of suspected fraud and document forgery connected to contracts for drinking-water distribution and sewage rehabilitation projects.

The investigation demonstrated the cross-border nature of financial crimes affecting EU funds. OLAF cooperated with other EU and national authorities, including the European Public Prosecutor's Office, and issued financial recommendations concerning the recovery of money affected by the suspected fraud.

OLAF's institutional position is strongly focused on prevention, investigation and recovery. It argues that protecting EU funds requires close cooperation between EU institutions and national authorities and that financial irregularities should be detected as early as possible. OLAF also complements EPPO: OLAF conducts administrative investigations and recommends financial or administrative action, while EPPO can investigate and prosecute criminal offences affecting the EU budget in participating Member States.

European Commission

The European Commission plays a central role in preventing corruption because it is responsible for overseeing the implementation of EU funding programmes and assessing whether Member States have adequate control systems. One of the clearest examples of the Commission using financial mechanisms to combat corruption is its response to concerns surrounding Hungary.

In 2022, the EU decided to suspend 55% of commitments under three Hungarian Cohesion Policy programmes, representing approximately €6.3 billion for the 2021–2027 period. The decision followed concerns about corruption, public procurement, conflicts of interest and the protection of the EU budget. The measure was based on the Rule of Law Conditionality Regulation, which allows EU funding to be suspended when rule-of-law deficiencies create a sufficiently direct risk to the sound financial management of the EU budget.

The Commission's approach demonstrates that it supports using financial conditionality as a tool against corruption. Rather than relying only on investigations after money has been misused, the Commission is willing to restrict access to EU funding when adequate safeguards are not in place.

For ECOFIN, the Commission's position supports stronger links between access to EU funding and effective anti-fraud, transparency and financial-management systems.

European Court of Auditors

The European Court of Auditors (ECA) approaches corruption from an auditing and financial-control perspective rather than through criminal investigations. Its 2026 Special Report on tackling fraud in the Recovery and Resilience Facility identified several weaknesses in the current anti-fraud framework.

The ECA found that anti-fraud requirements imposed on Member States were not sufficiently precise, that data-mining tools capable of detecting suspicious patterns were underused and that the EU did not have enough information to accurately estimate the overall level of fraud affecting the RRF. The Court also highlighted weaknesses concerning the reporting and recovery of fraudulent funds.

The ECA's position is therefore strongly focused on increasing transparency, improving data collection and establishing clearer and more consistent control requirements across Member States. It believes that the EU needs to be able to identify fraud systematically rather than relying primarily on individual investigations.

The ECA's findings are particularly relevant to ECOFIN because they provide evidence that the current RRF control system still has weaknesses. Its approach supports stronger common standards, better data-sharing and more effective monitoring of EU funds.

France

France provides a direct RRF case through the MaPrimeRénov' energy-renovation programme. The programme is partly financed through the Recovery and Resilience Facility and provides financial support for improving the energy efficiency of residential buildings.

In June 2026, seven people were convicted by the Paris Criminal Court following an EPPO investigation into a €1.13 million fraud scheme. The defendants were found guilty of fraud committed by an organised criminal group to unlawfully obtain public funds from the renovation programme. They received prison sentences and fines ranging from €10,000 to €400,000.

The case demonstrates a vulnerability of RRF funding that goes beyond large infrastructure contracts. Grant programmes involving thousands of individual beneficiaries can also be exploited through false applications and organised fraud.

France's approach supports the use of national judicial authorities together with EPPO to prosecute fraud affecting RRF funding. The conviction also demonstrates France's willingness to recover misused public funds and punish fraudulent beneficiaries. In relation to the wider topic, France supports strong monitoring of beneficiaries while continuing to use RRF funding to finance major national investment programmes.

Germany

Germany provides a useful comparative example of the importance of eligibility checks for EU funding. In July 2026, EPPO in Hamburg conducted searches and asset-seizure measures in an investigation into suspected organised subsidy fraud involving the Asylum, Migration and Integration Fund (AMIF). The suspects allegedly obtained EU funding by falsely claiming that an organisation met the programme's eligibility requirements and that the funding would be used for the proposed project.

Although AMIF is not a Cohesion Fund or RRF programme, the case demonstrates a vulnerability that is equally relevant to those programmes: applicants can potentially obtain EU money by providing false information before a project even begins.

Germany's approach places considerable emphasis on detailed eligibility checks, national auditing and cooperation with EU investigative institutions. Germany also cooperates with EPPO in participating areas of EU financial crime, while other investigations involving Germany demonstrate the importance of cross-border cooperation in tracing financial flows.

For the topic, Germany's approach supports stronger verification before funding is awarded, particularly where applicants or companies provide information that determines their eligibility for EU support.

Greece

Greece provides a major example of fraud involving EU agricultural funding, rather than Cohesion or RRF funding specifically. The case is nevertheless relevant because it demonstrates how false information and weaknesses in national verification systems can allow EU money to be obtained illegally.

In 2025, EPPO brought approximately 100 suspects to court in cases involving around €2.9 million in alleged fraud concerning EU agricultural funds. Between 2017 and 2020, applicants allegedly submitted false declarations of ownership and forged lease agreements for pastureland in order to receive agricultural subsidies. A later investigation also concerned alleged unlawful interventions by public officials in administrative and inspection procedures.

The Greek example demonstrates that corruption can occur not only among private beneficiaries but also within authorities responsible for verifying eligibility and distributing EU money. EPPO's statistics for Greece show a substantial number of investigations and significant estimated financial damage, although investigation numbers should not automatically be interpreted as proof that Greece is more corrupt than other Member States.

Greece's position on combating corruption therefore places importance on improving national verification mechanisms and strengthening cooperation with EU investigative bodies. For ECOFIN, the case supports stronger independent controls and more reliable databases for verifying beneficiaries.

Hungary

Hungary has been involved in several EU funding cases involving procurement and financial-management concerns. A particularly relevant example involved digital education projects financed through the European Social Fund, part of EU Cohesion Policy.

OLAF investigated the project and found irregularities in the procurement process. The project was designed to modernise schools through the purchase of IT equipment and teacher training. According to OLAF, technical specifications were modified shortly before the tender, while the cheapest bid was excluded, giving an advantage to the company that eventually received the contract. OLAF recommended the recovery of more than €3.6 million.

The case demonstrates how corruption does not necessarily require money to be directly stolen. Manipulating technical requirements or excluding competitors can effectively predetermine which company receives an EU-funded contract.

Hungary's broader relationship with the EU demonstrates the importance of this issue. The EU has used financial conditionality against Hungary because of concerns surrounding corruption, public procurement and the protection of EU financial interests. Hungary therefore represents a case in which the EU has used financial safeguards to pressure a Member State to strengthen its control systems.

Italy

Italy has become one of the most significant examples of the new fraud risks associated with the Recovery and Resilience Facility. EPPO has investigated numerous Italian cases involving companies allegedly attempting to obtain RRF funding through false information.

One major investigation, known as “Stop the Carousel”, involved a criminal organisation that allegedly created or took over inactive companies in order to apply fraudulently for RRF funding. The companies allegedly had no genuine business activity, while false financial statements were entered into Italy's company register to create the appearance of substantial revenues. Applications were then submitted for funding related to internationalisation, e-commerce and expansion into foreign markets.

More recently, EPPO seized approximately €20 million in assets in an Italian investigation involving suspected RRF fraud linked to the New Skills Fund. The suspects allegedly obtained funding intended for employee training on the basis of fictitious training activities.

Italy's position demonstrates strong support for using EPPO and national financial authorities to detect and recover fraudulent RRF funding. Italy also shows why RRF beneficiaries require continuous monitoring: checking a company's eligibility when it applies for funding may not be sufficient if the company later submits false evidence concerning the implementation of the project.

Netherlands

The Netherlands provides an example of how national auditing can detect irregularities before or alongside EU-level criminal investigations. In one EPPO case concerning EU-funded cancer research, an audit by the Dutch Government Audit Service triggered an investigation into suspected subsidy fraud.

The investigation found that an individual had allegedly used invoices more than once and reported working hours above the permitted threshold in order to increase the amount of funding considered eligible. The estimated damage to the EU budget was approximately €84,000. The case was ultimately resolved through a simplified prosecution procedure involving community service and a fine.

Although the case did not involve the Cohesion Fund or RRF directly, it demonstrates a control mechanism highly relevant to both: national audit institutions can identify inconsistencies in financial claims, which can then be investigated at EU level.

The Netherlands' approach places considerable importance on transparency, auditing and strong national financial controls. Its case demonstrates that combating corruption does not always require large investigations after significant losses have occurred; routine auditing can identify irregularities at a much earlier stage.

Poland

Poland provides a recent example involving the European Regional Development Fund (ERDF), which forms part of EU Cohesion Policy. In May 2026, EPPO detained eight individuals in an investigation into suspected fraud, corruption and abuse of office connected to the “Fast Track – Digital Innovation” competition. The programme was financed by the ERDF and managed by Poland's National Centre for Research and Development.

The investigation concerns alleged irregularities in the selection and implementation of projects under a 2022 funding call. The case demonstrates the risks associated with programmes in which public authorities select private companies to receive large amounts of EU funding.

An important element of the Polish case is cooperation between institutions. The investigation involved Polish authorities and EPPO, while OLAF also provided analysis after reporting related concerns. This demonstrates how information gathered by different EU and national bodies can contribute to a criminal investigation.

Poland's position supports stronger cooperation between national authorities and EU institutions when protecting EU funds. The case also demonstrates the importance of independent project selection and transparent evaluation criteria, particularly when ERDF funding is awarded through competitive calls.

Portugal

Portugal provides a particularly strong RRF case because the suspected fraud concerns public procurement for education and cybersecurity projects. In July 2026, EPPO indicted 12 individuals, including four public officials, and three companies in connection with alleged fraud involving RRF-funded projects for a public university and secondary schools

The contracts involved the acquisition of IT and cybersecurity equipment. According to EPPO, the investigation found evidence suggesting that suspects participated in an organised scheme to obtain privileged information about public contracts and use that information to ensure that particular suppliers won procurement procedures. The suspected offences included subsidy fraud, corruption, abuse of office, document forgery and unlawful participation by a public official in a business transaction.

Portugal's case demonstrates the vulnerability created when public officials have access to sensitive procurement information. It also shows why conflict-of-interest rules and restrictions on sharing confidential tender information are important for protecting RRF funding.

Portugal's approach supports cooperation with EPPO and stronger oversight of public procurement. The case provides evidence for measures such as stronger conflict-of-interest declarations, independent procurement monitoring and improved protection of confidential tender information.

Romania

Romania provides some of the strongest examples of corruption risks affecting both Cohesion Policy and the RRF. In July 2026, EPPO investigated suspected procurement fraud involving a €4 million RRF-funded hospital project. The project concerned medical equipment and supplies intended to reduce hospital-acquired infections. Investigators found substantial grounds to believe that the project budget had been artificially inflated through manipulation of the estimated value of the equipment

Only a few weeks later, in August 2026, EPPO opened another investigation involving 29 EU-funded IT projects worth approximately €7 million. The projects were financed through the RRF and the Operational Programme Administrative Capacity. Investigators suspect that a criminal network manipulated public procurement procedures to favour preselected suppliers of cloud infrastructure for public authorities.

Romania therefore demonstrates two major procurement vulnerabilities: artificially inflated prices and tender procedures allegedly designed to favour predetermined suppliers.

Romania's experience supports stronger digital monitoring of procurement procedures, increased transparency concerning contractors and subcontractors, and cooperation between national authorities, OLAF and EPPO. The repeated investigations also demonstrate the importance of detecting suspicious procurement patterns before EU funds are fully disbursed.

Slovakia

Slovakia provides an example involving ERDF funding and the misuse of a formally eligible project. In one case investigated by OLAF and later prosecuted by EPPO, EU funding was provided for the construction and operation of a go-kart centre under an ERDF programme.

OLAF's investigation found that the project had allegedly not been implemented for the benefit of the grant applicant but instead for a third party that was not eligible to receive the EU funding. Artificial conditions had allegedly been created during the application and implementation phases. OLAF recommended the recovery of approximately €199,795, and the full amount was recovered in 2023. The investigation was subsequently referred to EPPO, which brought an indictment against one individual and one company.

A separate Slovak case resulted in convictions for EU funding fraud involving energy-saving measures, demonstrating that EU funding fraud can occur across different sectors and through different methods.

Slovakia's approach demonstrates the importance of verifying not only whether a beneficiary is formally eligible but also who ultimately benefits from an EU-funded project. The country's experience supports stronger checks on beneficial ownership, project beneficiaries and the actual implementation of funded projects.

Spain

Spain provides a useful comparative case involving false eligibility claims for EU agricultural funding. In 2023, EPPO investigated a criminal network in Andalusia suspected of creating fictitious property rights and false lease contracts so that applicants could appear to possess sufficient agricultural land to qualify for EU subsidies.

The estimated damage was approximately €3 million. The investigation began following information provided by the agricultural authorities of the Andalusian regional government. EPPO reported 23 arrests and the seizure of bank accounts and properties connected to the suspected scheme.

Although the case concerns the Common Agricultural Policy rather than the Cohesion Fund or RRF, it demonstrates a problem that can also affect other EU funding programmes: beneficiaries can manipulate information to satisfy eligibility requirements and obtain money they would not otherwise qualify for.

Spain's approach supports stronger verification of beneficiary information and cooperation between national authorities and EPPO. For the broader topic, Spain demonstrates the importance of cross-checking information rather than relying solely on documents submitted by applicants. Digital databases and connections between national property, business and funding records could make this type of fraud more difficult.

Sweden

Sweden provides a different and particularly useful comparative case because it highlights the difficulty of measuring corruption in EU-funded programmes. Sweden is not a participating member of the European Public Prosecutor's Office, although it cooperates with EPPO through the EU's judicial-cooperation mechanisms.

Sweden's case is therefore less about one major Cohesion or RRF scandal and more about how Member States monitor and report EU-fund irregularities. Historical EU financial-interest reports show relatively low numbers of reported fraudulent irregularities in Sweden compared with several other Member States. However, the European Commission explicitly warns that the number of reported fraudulent irregularities should not be interpreted as the actual level of fraud in a Member State. These figures partly reflect the effectiveness of national authorities in detecting and reporting fraud.

This distinction is important when comparing Member States. A country reporting very few cases may have strong prevention systems, but it could also have fewer detection mechanisms or simply manage smaller amounts of relevant funding.

Sweden's approach therefore demonstrates the importance of reliable and comparable EU-wide data. Its position can be interpreted as supporting strong national control systems while cooperating with EU institutions where cross-border financial crimes are involved. For ECOFIN, the Swedish example supports improving the consistency and transparency of EU fraud reporting so that Member States can be compared more accurately

6. SOURCES

“Economic and Financial Affairs Council.” Consilium, 17 Feb. 2026,
<https://www.consilium.europa.eu/en/council-eu/council-meetings-explained/ecofin/>. Accessed 21 Aug. 2026.

Consilium, 17 Feb. 2026,
<https://www.consilium.europa.eu/en/council-eu/council-meetings-explained/ecofin/>. Accessed 20 Aug. 2026.

European Anti-Fraud Office. “Reports.” European Anti-Fraud Office, 2019,
https://anti-fraud.ec.europa.eu/about-us/reports_en?utm. Accessed 20 Aug. 2026.

European Commission. “9 Remarkable EU-Funded Projects.” Medium, 26 June 2023,
<https://europeancommission.medium.com/building-a-better-europe-9-memorable-eu-funded-projects-ccc00d4d8137>. Accessed 20 Aug. 2026.

European Public Prosecutor’s Office. “Romania: EPPO Conducts Searches in Probe Into €4 Million Hospital Procurement Fraud.” The Independent Public Prosecution Office of the EU, 21 July 2026,
https://www.eppo.europa.eu/media/news/romania-eppo-conducts-searches-probe-eur4-million-hospital-procurement-fraud-2026-07-21_en?utm. Accessed 20 Aug. 2026.

Gauret, Fanny. “What Is the EU’s Recovery Fund and Why Does It Matter?” Euronews, 3 Apr. 2024,
<https://www.euronews.com/business/2024/04/03/what-is-the-eus-recovery-fund-and-why-does-it-matter>. Accessed 20 Aug. 2026.

“Recovery and Resilience Facility.” European Commission, 23 Feb. 2026,
https://commission.europa.eu/funding-and-tenders/find-funding/eu-funding-programmes/recovery-and-resilience-facility_en?prefLang=el&utm. Accessed 20 Aug. 2026